

Qualification Programme
Module 1 – Accounting
Report on Candidates' Performance
(December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

This paper consisted of 45 multiple-choice questions. Candidates had one hour and forty-five minutes to complete the paper. The questions of this paper related broadly to the following Principal Learning Outcomes:

- (a) Explain the purpose of accounting;
- (b) Demonstrate an understanding of accounting principles;
- (c) Prepare accounting records, demonstrate management and control; and
- (d) Prepare and present financial statements from a trial balance or incomplete records.

The multiple-choice questions in this paper were divided into two broad categories, which were worth 1 to 2 marks each:

- Knowledge-based questions; and
- Application-based questions.

General Comments

The average marks (in percentage) scored by candidates for questions of the topic areas are as follows:

(a) Explain the purpose of accounting	74.3%
(b) Demonstrate an understanding of accounting principles	78.1%
(c) Prepare accounting records, demonstrate management and control	56.7%
(d) Prepare and present financial statements from a trial balance or incomplete records	55.4%

The average marks (in percentage) scored by candidates for the two broad categories of questions are as follows:

• Knowledge-based questions	63.8%
• Application-based questions	58.9%

In general, the candidates' performance in this session was satisfactory. Candidates exhibited competence in explaining the purpose of accounting, and demonstrating an understanding of accounting principles. However, their proficiency in preparing accounting records, demonstrating management and control, and preparing and presenting financial statements from a trial balance or incomplete records was weaker.

Specific Comments

In this session, candidates demonstrated weakest performance in questions covering the following topics:

- Prepare reconciliations of control accounts and subsidiary ledgers
- Account for the revaluation of property, plant and equipment under revaluation model
- Prepare a manufacturing account and a statement of profit or loss and comprehensive income showing prime cost; cost of goods produced; transfer price of finished goods and a statement of financial position for a manufacturing business

Specifically, candidates encountered difficulties with specialised accounting topics, particularly in the areas of preparing journal entries for the revaluation of property, plant, and equipment under the revaluation model, and understanding the composition of cost of conversion in a manufacturing account. It appears that candidates may not have sufficiently covered the whole syllabus in depth.